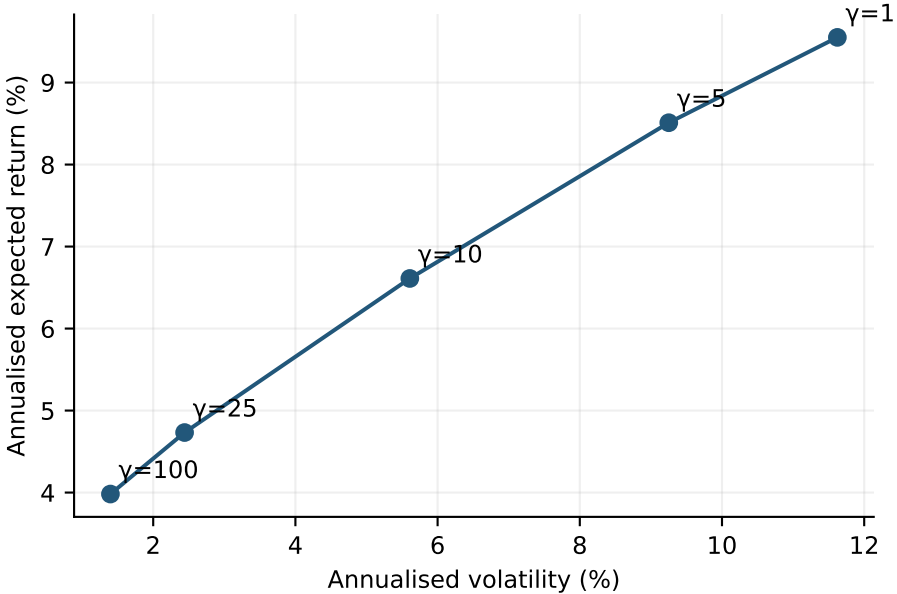
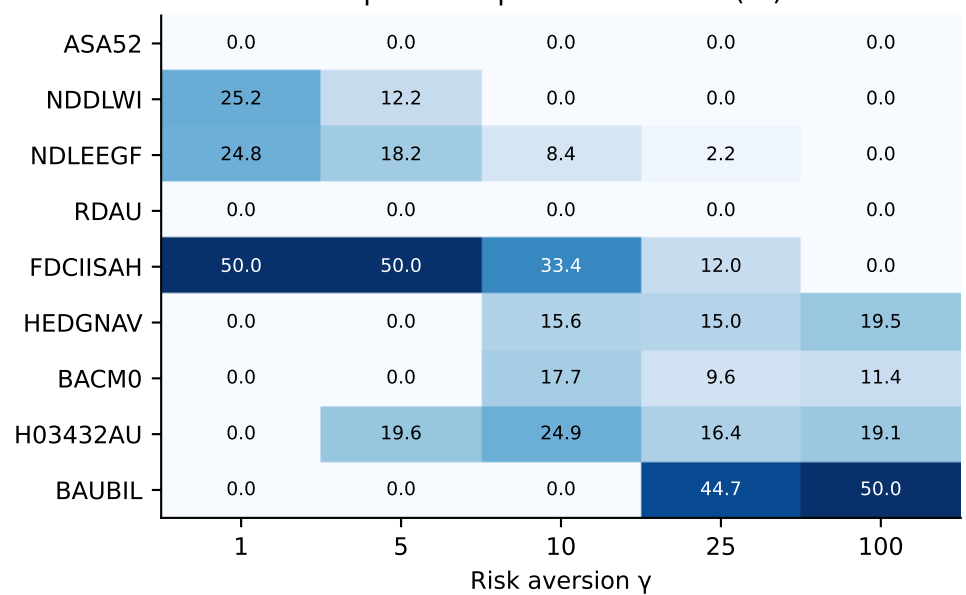

Risk aversion reduces fitted risk and return
γ=1
γ=5
γ=10
γ=25
γ=100
Annualised expected return (%)
Annualised volatility (%)
4
5
6
7
8
9
2
4
6
8
10
12


Optimal capital allocations (%)
ASA52 0.0 0.0 0.0 0.0 0.0
NDDLWI 25.2 12.2 0.0 0.0 0.0
NDLEEGF 24.8 18.2 8.4 2.2 0.0
RDAU 0.0 0.0 0.0 0.0 0.0
FDCIISAH 50.0 50.0 33.4 12.0 0.0
HEDGNAV 0.0 0.0 15.6 15.0 19.5
BACM0 0.0 0.0 17.7 9.6 11.4
H03432AU 0.0 19.6 24.9 16.4 19.1
BAUBIL 0.0 0.0 0.0 44.7 50.0
1
5
10
25
100
Risk aversion γ